

WiseTech Global Limited WTC

July 30, 2026 - 6:21pm EST

by

sediment

2026 2027

Price:	37.89	EPS	0.69	0
Shares Out. (in M):	333	P/E	48	0
Market Cap (in \$M):	12,633	P/FCF	23	0
Net Debt (in \$M):	3,451	EBIT	526	0
TEV (in \$M):	14,792	TEV/EBIT	23	0

Description

Containerization for transportation and logistics began in the '70s, around 50 years ago. Wisetech develops global logistics software—CargoWise, a single dominant global database for the past 30 years which enables freight forwarders to manage cross-border operations and compliance.

For freight forwarders, it is not practical to run their entire business by calling, emailing, and managing thousands of documents to ensure their cargo clears customs and is delivered. There is regulatory risk associated with international movements and customs entries.

CargoWise's integrated software manages a freight forwarder's supply chain from origin to destination; they understand the pain points in port and container transport.

Richard White built and wrote the original software for CargoWise from 1994 and transformed it to one of the very few genuinely global world-class software platforms from Australia. Three decades later, WiseTech is worth 10 billion and generates around 1 billion in annual revenue.

The stock has tanked due to sexual allegations of Richard White. However, personal issues aside, Richard is a great businessman and CEO, he is a product person and knows how to expand CargoWise by acquiring at reasonable prices. In his earnings calls it shows he knows this industry well. The CEO which the board appointed, Zupin Appoo, is passionate about his work too.

Founder Richard White still owns roughly 36-37% of Wisetech.

Wisetech can't be replaced easily because they spent the last 2 decades working hard on negotiating and cooperating with each country and jurisdiction to streamline the entire process; including owning the management between freight and port.

In addition, Wisetech's 2.1B acquisition of a listed logistics software company E2open makes them the operating system which consolidates all aspects of logistics trade to be fully vertically integrated.

Moat

CargoWise has a monopoly— everything that large freight forwarders do can be handled by CargoWise—24 out of the 25 largest freight forwarders use CargoWise.

Any competitor who wants to build logistics software to imitate CargoWise will never have the capability to attack Wisetech's moat—CargoWise has an estimated 60-70% market share with their integrations connecting more than 400 airlines, over 150 ocean carriers, and over 90 million ocean containers operating in 193 countries. They have 735 partners and support over 42,000 CargoWise certified professionals worldwide

Wisetech's customers have tried to build their own in house systems and failed.



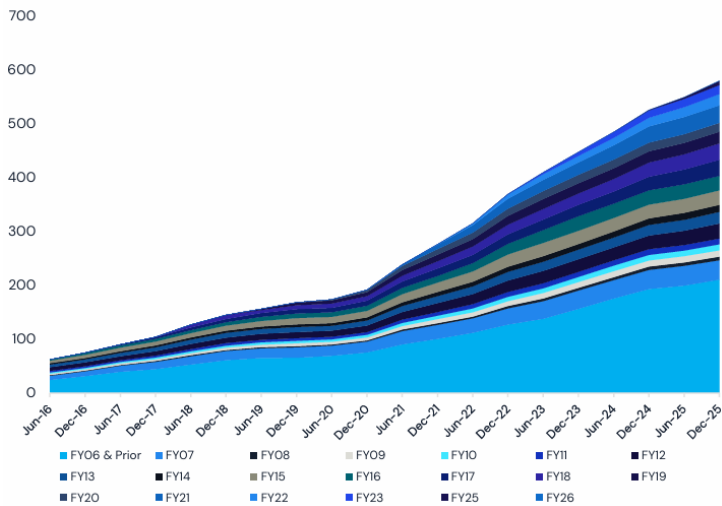
Pricing power— Sticky product with almost no churn

Pricing power with Wisetech is evident as CargoWise passes on about 5-10% of annual price increases to its users, yet churn is less than 1% every year for the past 12 years.

Wisetech has a reoccurring revenue of 97%, over 30% in FCF margin, with gross margins consistently over 80% for more than a decade, and operating margins over 30%.

300 customers generate approximately 70% of CargoWise's revenue. At 1.5B in revenue, this implies that in the past 3-7 years, the top 300 customers were previously paying around 2 million annually, but now they're paying closer to 3 million.

CargoWise application suite¹ revenue by customer cohort
USD M (last 12 months)

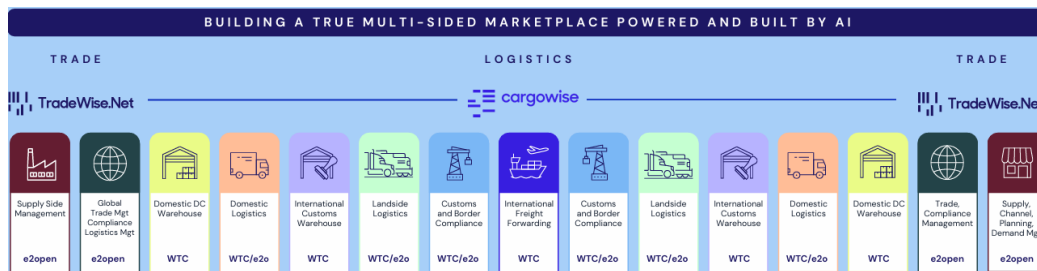


E2Open Acquisition solidifies any missing gaps or pieces in CargoWise's supply chain software and consolidated market dominance

WiseTech Global's USD2.B (Aud3.3B) acquisition of U.S. based cloud computing and supply-chain firm E2open in August 2025 expands CargoWise from freight forwarding execution into upstream supply chain planning, trade management, and multi-tier network connectivity.

CargoWise currently reaches approximately 55% of global manufacturing trade flows. This is an extraordinary amount of data that allows them to find and resolve problems deep within the logistics supply chain. With the acquisition and integration of E2Open, WiseTech aims to achieve to reaches roughly 80% of global manufacturing trade flows with active roll outs.

This integration merges E2open's network of 500,000 connected manufacturing and distribution partners with CargoWise's logistics ecosystem which penetrate across some of the largest brands including Dell Technologies, NVIDIA, Ford Motor Company, L'Oreal and Schneider Electric. This eliminates gaps between what manufacturers plan and what logistics providers transport and offers real-time tracking from raw material sourcing down to final delivery.



E2open has been struggling historically, but there's no reason to think WiseTech can't turn it around. E2Open before Wisetech's acquisition, heavily relied on an acquisition-led growth strategy (including Amber Road, Cloud Logistics, and INTTRA) which left the platform with fragmented legacy tech architectures and slow organic growth.

Bolting a supply-chain platform onto CargoWise without breaking is what makes CargoWise work— it is exactly the kind of problem that needs Richard White, the original founder and software architect— so important. He can bring innovation and integration into CargoWise's product architecture. It was really embedding WiseTech's culture into how e2open builds products and delivers value to customers.

Chief Executive Officer Zubin Appoo has mentioned in his earnings call that the Wisetech team is very focused integration of e2open in a project called Horizon 1. Horizon 1 has 50 million in annualized run rate cost savings, achieved nearly 18 months ahead of schedule. This is expected to evolve as e2open transitions towards a more product-led model and as Wisetech progresses with restructuring with the future benefits of AI.

The acquisition of E2Open raised debt to capital from 2-5% in the last decade to 57%.

The recent acquisition of E2Open has increased debt to AUD3.4B in which AUD2.3B is long term debt to provide additional working capital. Debt to equity increased to 135% from 2-6% before the acquisition.

In 2024 to 2025, long term debt was around AUD50M, current long-term debt is around AUD 2.3B. The 3.4B debt facility was underwritten by 9 leading domestic and international banks with subsequent market syndications successfully completed in August 2025 to a strong

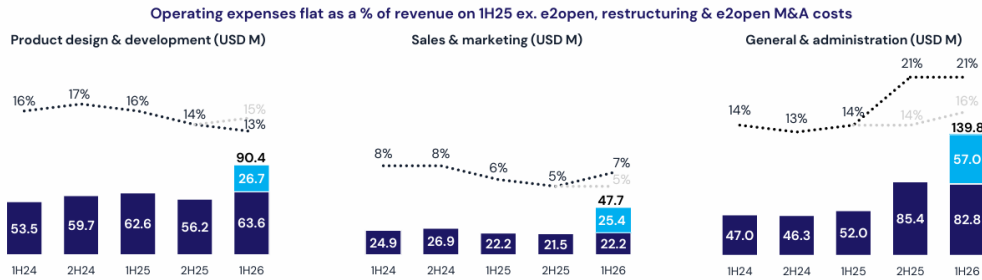
group of more than 15 additional syndicate banks. Wisetech's current cash on hand is approximately AUD500M. Net leverage in the end of 2025 was 3.2x, and Wisetech expects to deleverage to approximately 2x by August 2028.

Reducing Headcount

Announcement to cut 30% of workforce or 2000 developers

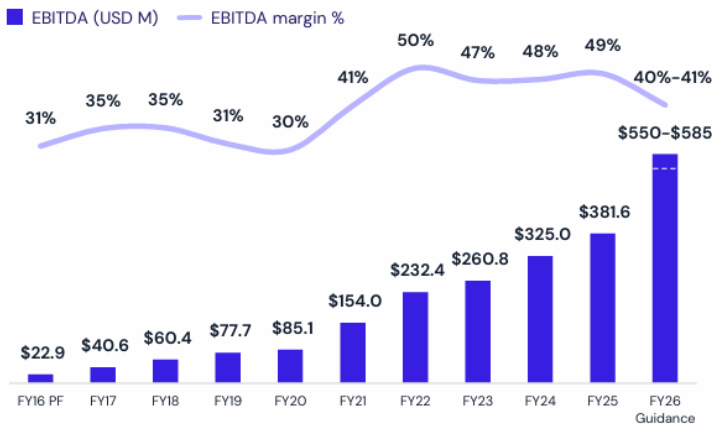
Despite having pricing power, Wisetech is disciplined in cost cutting— over the next few years from 2026 to 2028, Wisetech will have an enormous impact on the labour savings by cutting out 30-35% of their workforce. 500 roles have been terminated recently.

If you disregard the freight costs of a forwarder, all that's left are 70% of total expenses which is labour. Only a tiny part is software cost. If Wisetech focuses on cutting out 35% of their labour expense, half of the 70% mentioned— within 2 to 3 years, they will have half of their total current labour force. This allows them to deliberately focus more on operational and line management.



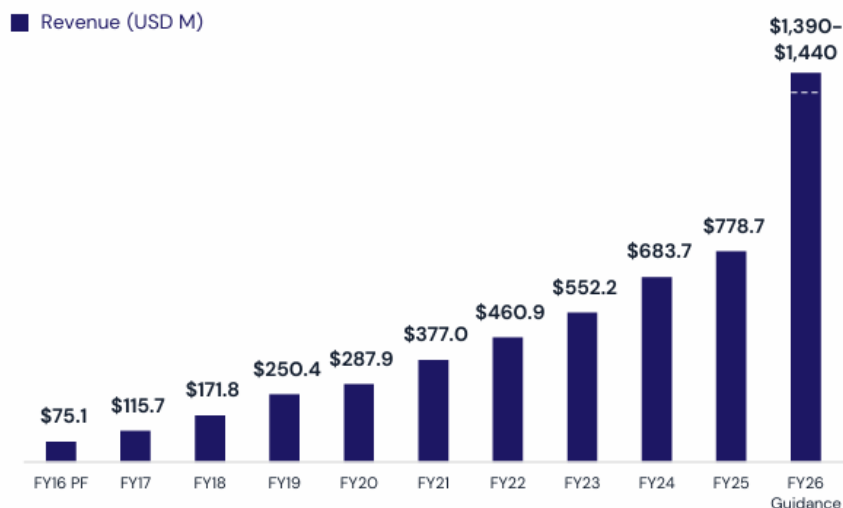
Starting in the second half of 2026 and continuing into 2027 there will be a 50% decrease in head count for product development and customer service, including e2open for a total estimated reduction of 2000 roles.

Previously interim CFO Caroline Pham from earnings calls said that they'd like to get EBITDA margins back to 50% with a 2,000-headcount reduction initially, since the consolidation impact of previous acquisitions such as E2Open had a dilutive impact on margins. E2open's business model places more emphasis on sales, resulting in lower product investment and capitalization rates compared to WiseTech's business.



Consistent double-digit growth of annual revenue and new customers

Revenue growth for Wisetech has grown at 25-45% consistently for the past decade, while FCF has grown 40-60% annually since 2016.



Since the start of 2026, there has been 4 new large freight forwarders which signed up on their CargoWise Value packs— blue Water Shipping, and XPD global. Also, Sankyu and CJ Logistics further extends their reach into the Asian market.

Wisetech has also added an additional organic global rollout of Neptune Pacific, meaning they now have 59 large global freight forwarders with 46 in production and 13 in contracted rollouts. 11 of these 59 are in the top 25 global freight forwarders.

Launch of CargoWise Value Packs—

A change to transactional pricing instead of seat-based pricing

In late 2024 to 2025, Wisetech started moving away from cloud hosting fees and eliminated legacy seat-based (Seat and Transaction License model since 2014) pricing and pivoted towards value transactions by launching CargoWise Value Packs.

CargoWise previously had a quite complex billing algorithm where there were many overheads, including seat fees, including cloud hosting fees and then many different transaction fees rather than just a single transaction fee.

Wisetech gets paid per transaction— there are external APIs that Wisetech provides — it does not matter if a customer has one user, 100 users, 1,000 users or 10,000 users. Wisetech does not allow writable access to the core database of the system. There are no overheads from a cloud hosting and no overhead for customers.

In addition, these value packs bring new features—customers now all have access to 216 features, about half of them being brand-new features, and they are paying what they used to pay under STL as if they had not transitioned.

95% have successfully adopted CargoWise's value pack or CVP. The remaining 5% of customers or cohorts make up 30% of total revenue.

The remaining 5% who have not yet migrated to the CargoWise's Value Pack are currently using trial access agreements for some features on a time-restricted basis, including Neo, certificates of origin, and electronic bills of lading— all of which have automation and efficiency benefits.

As previously mentioned, potentially 50% of roles can be eliminated over the next few years by replicating parts of that workflow. As businesses adopt more of the features in CargoWise's Value Packs, there will be an uptake of 2x to 4x increase in agentic AI workflow engine features, which will be able to be much more efficient and handle more business.

Customers that are on CargoWise Next and are using the Value Pack, particularly the 4 agentic AI capabilities (compliance, classification, document ingestion and Ace AI agent) and future AI workflow engine capabilities which will be far more productive and efficient than those other systems or in-house systems.

Wisetech is very closely connected to Claude Code, ChatGPT, and Gemini. They are looking at LLMs to take those efficiencies and plug them into a fundamental moat that they have. They are identifying edge cases and resolving customer service incidents using their ACE AI agent that's been part of their product since the CVP launch.

Normally, an external AI agent using Wisetech's API is used to build an MCP or some form of connector which allows for data integration. AI personas that Wisetech built are tightly integrated with the data, can write back to the database and can talk directly to those authorities, can talk to the operators inside the system and can talk to the customers in a sort of self-service model, very similar to how airlines and banks deal with customers.

These systems are included in the Value Pack at no additional cost.

Using M&A to fuel growth

Acquisitions have contributed roughly 33% of Wisetech's total revenue growth over the last decade. CargoWise has more than doubled its revenue in 5 years— in 2021 revenue was 508M, by 2026 revenue is approximately 1.2B.

To integrate globally, WiseTech Global has made a total of 57 to over 60 strategic acquisitions since 2013, with approximately 41 to 55 completed transactions documented globally, including a lot of bolt-on acquisitions, such as Blume Global and Envase Technologies in

2023, following a peak of 15 acquisitions in 2018 alone.

Most of these deals are less than 50M, but strategically important since smaller software players connects Wisetech to terminals and port authorities, customs authorities, shipping lines, airlines, trucking companies, and rail companies. Besides E2Open, one of the more recent larger deals was acquiring Envase for approximately 400M in cash in 2023.

This M&A strategy has allowed the business to expand into new geographies where there are differences in the logistics market – acquiring Bysoft in Brazil, ProLink in Taiwan, and ABM in Ireland, just to name a few.

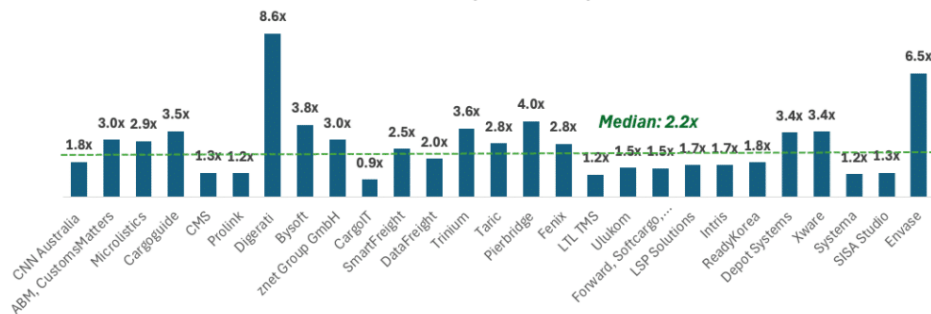
Before the E2Open, WiseTech has spent about USD1.2B on acquisitions since its inception, so this is a material step up compared to anything it has done previously. Luckily management did not overpay for these acquisitions, and the median EV/EBITDA was about 12x. WiseTech has many acquisitions with a median multiple of 2.2x revenue/ enterprise value.

WiseTech Announced Acquisitions (where numbers are available)

All figures shown in A\$m, EV excludes earnouts

Year	Name	EV	EBITDA	EV/EBITDA	EV/Revenue
2016	CNN Australia	2.75	n.a.	n.a.	1.8x
2017	ABM, CustomsMatters	12.3	0.8	3.3x	3.0x
2017	Microlistics	20	1.7	11.7x	2.9x
2017	Cargoguide	6.9	0	n.a.	3.5x
2017	CMS	5	0.2	25.0x	1.3x
2017	ProLink	3.7	0.3	12.3x	1.2x
2017	Digerati	6	0.5	12.0x	8.6x
2017	Bysoft	13	n.a.	n.a.	3.8x
2017	znet Group GmbH	9	n.a.	n.a.	3.0x
2018	CargoIT	1.8	0.3	6.0x	0.9x
2018	SmartFreight	20	1	20.0x	2.5x
2018	DataFreight	3.6	0.4	9.0x	2.0x
2018	Trinium	40.9	3.6	11.4x	3.6x
2018	Taric	25	1.2	20.8x	2.8x
2018	Pierbridge	37	0.1	370.0x	4.0x
2018	Fenix	2.5	0.1	25.0x	2.8x
2018	LTL TMS	2.1	0.5	4.2x	1.2x
2018	Ulukom	2.9	0.5	5.8x	1.5x
2018	Forward, Softcargo, EasyL	10.1	0.8	12.6x	1.5x
2018	LSP Solutions	5	0.5	10.0x	1.7x
2018	Intris	11.9	0.7	17.0x	1.7x
2019	ReadyKorea	13.2	1.6	8.3x	1.8x
2019	Depot Systems	4.4	0.2	22.0x	3.4x
2019	Xware	12	1.4	8.6x	3.4x
2019	Systema	3	0.3	10.0x	1.2x
2020	SISA Studio	15.5	0.5	31.0x	1.3x
2023	Envase	400	12	28.8x	6.5x
Median				12.0x	2.5x

EV/Revenue Multiple of WTC Acquisitions



Source: SBO Financial

In early 2026, WiseTech acquired customs brokerage provider Customscentre, and announced the acquisition of AI-powered supply-chain firm FRDM.ai.

Competition

By employing such an aggressive M&A strategy, Wisetech has strangled meaningful competitors and made it more difficult for its large customers to come up with in-house solutions, since many freight forwarding companies will use a handful of technology companies in their 'tech stack'.

Forwarders stick with CargoWise simply because it's the industry standard and many big shippers expect their partners to use it. CargoWise dominates the market for top-tier global freight forwarders handling high-volume compliance and regulatory filings.

CargoWise, while incredibly deep, has a steeper learning curve and higher costs. Some customers may prefer systems like GoFreight, ShipThis, or Descartes. For smaller or mid-sized forwarders, it can sometimes feel overwhelming when a simpler product would suffice. Decisions come down to scalability, cost, and how quickly a team can get on board.

Descartes Systems has a market capitalization of roughly USD 6.5B with a revenue of roughly 740M. Wisetech has roughly an annual revenue of 780M to 1B. Descartes specializes in highly visible real-time in telematics and domestic North American routing, load matching, and field-focused route optimization.

Another competitor is Flexport, a late-stage tech-enabled freight forwarder with best-in-class technology run by Ryan Petersen.

Both these companies rarely compete with WiseTech for large-scale, end-to-end global freight forwarding because of its fragmented suite of logistics and shipper solutions.

Most in-house legacy systems built by customers fail

In-house solutions have had a history for failing with WiseTech's customers crawling back to them. Nippon Express, Panalpina and DHL all lost over 100M each in their failed builds before resorting to using CargoWise.

In DHL's case, it is thought to have spent 1 billion on its failed system, using IBM to try to build a fully functioning environment on top of SAP, before accepting defeat and signing up to WiseTech as a customer.

As AI and software become more powerful, the value of trusted embedded system operating inside regulated workflow increases. Businesses running on CargoWise operate at a higher productivity than those relying on a fragmented legacy system or in-house builds. CargoWise has a strict policy of no customization for its customers. If the pain point is big enough, it will be incorporated into the software and served to all customers.

We will see if DSV is the exception to this rule

Danish forwarder DSV formally acquired DB Schenker on April 30, 2025. Some people are worried that WiseTech Global lost its largest customer, logistics giant DSV Global when it decided to migrate to DB Schenker's Tango in-house freight forwarding management solution software. It will take 3+ years to transition off completely (maybe more) DSV's acquisition of DB Schenker.

DSV has already shifted roughly 30% of its operations to DB Schenker's Tango transport management system, with CargoWise still running the remaining 70% of its global business.

Tango is proprietary but still does not have the same number of modules, features or capabilities of Wisetech, which is surrounded by their AI workflow engine deeply in one global operating system.

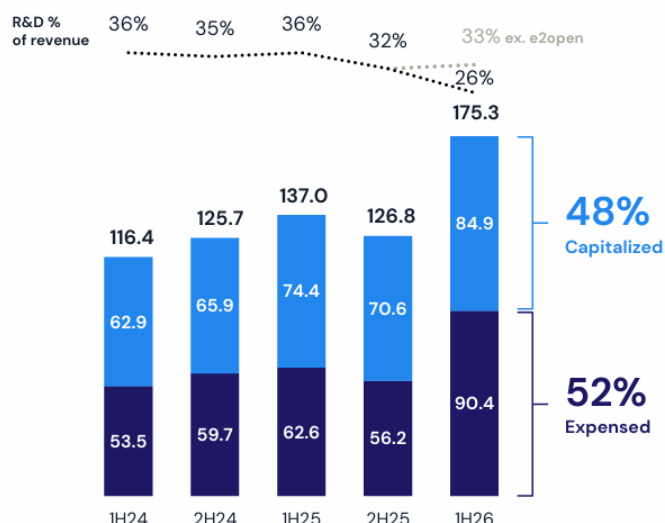
R&D

Wisetech has spent 30 years building CargoWise. Over the past five years, Wisetech has invested nearly 1.1 billion in R&D to achieve a run rate of 360-370 million a year. The first half of 2026 saw 1060 product enhancements on the CargoWise application suite, bringing total enhancements delivered to more than 6300 over the last 5 years from a total investment of more than 1 billion.

Excluding e2open, 15-33% of revenue was invested in R&D. 175M was invested in the first half of 2026 for R&D. About 62% of the employees at Wisetech work directly on the product. If you want to go after WiseTech, you will have to spend billions.

Capitalized development was up 54%. One caveat I would like to acknowledge is that 48-50% of Wisetech's R&D was capitalized, instead it should be expensed to reflect actual economics.

Investment in innovation and product development (USD M)



Risk— Did I miss anything?

Freight Forwarder Complaints from the transactions instead of seat-based pricing— Cargowise uses a Transitional Pricing Protection

Some customers may be heavily frustrated by the sudden structural shift, arguing that transaction accumulation can outpace seat savings and force unwanted AI/software overhead onto operations. Alternative logistics and AI-driven platforms are marketing flat-fee, non-surcharge options to disgruntled users.

CargoWise counters this by using a Transitional Pricing Protection mechanism used to bridge the gap between legacy pricing models and the CargoWise Value Packs. The purpose of WiseTech introducing TPP was to prevent disruptive price jumps. TPP is not restraining revenue for large customers; it is rather a commitment to support a transition from price rises.

Wisetechn provided significant discounts (up to 50% in discounts) for large forwarders which transitioned across to their new model; the actual price rise associated with the new commercial model won't be embedded in second half and not until a couple of years later. Depending on customer's usage shifts under the CVP system, TPP acts as either a debit or credit line on the client's monthly invoice, ensuring they pay roughly what they were paying previously.

Will larger freight forwarders explore in-house solutions after DSV uses Tango?

Given DSV's scale as the world's largest freight forwarder following the Schenker deal, the ripple effects across container supply chains could be substantial. The phased approach — moving incrementally rather than executing a wholesale platform switch — suggests the full transition will take considerable time. Whether Tango can match CargoWise's global customs footprint and deep integrations at scale remains the critical test as DSV pushes beyond the 30% mark.

Given the previous failures of setting up in-house software like the DHL wasting 1B to only give up, I'd say it's very hard to pull away from CargoWise.

Richard White's allegations

Richard White's allegations have been serious and that's what got him kicked out as CEO. While he is a fantastic founder and effective CEO, the integrity of his personal life has been questioned, and he has dealt with the Australian Federal Police.

He has gotten into trouble multiple times and may eventually end up in jail someday. It's hard to say any of the events were true, but it is also hard to presume that he was completely innocent.

First was an allegation that he provided false information on a visa application. In her report to the AFP, former Kyckr chief executive Kathy Phelan alleged White had made up a reason to hire Heidemann after she left WiseTech and provided false information to the government to get her a visa. Kyckr is an anti-money-laundering software firm also owned by White.

Then Richard was alleged to have influenced Caroline Heidemann, a Brazilian once employed by WiseTech as a cleaner, into a sexual relationship.

Heidemann made similar claims against White last year but finally reached a settlement. Richard denied he had exploited Heidemann and has previously said the pair were in a consensual relationship.

Another problem is being led by the Australian Securities and Investments Commission, which is investigating share trades valued at more

than 200 million.

I sure can't say these incidents make Richard White look like a saint. But I think Wisetech has come to a point where it can survive and thrive without Richard.

Valuation— A good opportunity to own Wisetech

Despite a huge drawdown (lowest multiple since IPO) in the last few months due to the AI scare and sexual scandal of Richard White, WiseTech's valuation is slightly rich to fairly priced for a company with such a strong moat.

Wisetech's valuation has dropped from AUD35-40B to AUD10B due to a sex related scandal. Whether you look at price to earnings or whatever multiple you fancy, it's still a bit expensive, at AUD 12B (USD8.3B) to a FCF of about AUD350M but you still must consider there's still double-digit revenue growth annually.

WiseTech's founder, Richard White, has been kicked out for sexual allegations with employees, mistresses, and police raids. He was back on the payroll as a consultant until directors resigned. He was appointed as chairman but kicked out in July.

If you can look pass this, CargoWise is growing, profitable, and pursuing the right strategy, by not charging by seats and instead by transaction. Return on capital is around 8-10%.

Operating cashflows is around AUD550-600M with annual capex at around 20-40M. Wisetech's operating cashflow conversion rate is around 90-93%.

At a market cap of AUD10B, a FCF of 350-450M, this would imply 20x, if you factor-in debt, EV would be 13B, and the multiple would be closer to 32x. Wisetech is now fairly priced for a great company but not selling at a significant discount relative to cashflow. For a decade since 2016, the enterprise value to operating earnings has fluctuated from 80x to 120x, and it is finally at a more palatable 23-25x.

This is a bit rich in terms of valuation for my own taste, but given the growth and moats around Wisetech, I think it's still a great opportunity. Wisetech has grown from annual revenues of approximately Aud 100M in 2016 to aud1.5B in 2026, which is more than 10 times increase in revenue within a decade.

In addition, Wisetech recently grew revenue by more than 76%, driven by more than 6 months of the e2open growth which contributed to approximately 250M in half a year.

Total Addressable Market Growing and larger than expected

To say that the total addressable market could potentially be 10 times bigger as mentioned in earnings calls is a possibility.

The global logistics market is about 11 trillion expanding into the 24 trillion global trade market, which together represents approximately 30% of global GDP. Software spend is still well below 1% of the combined markets.

I can see Wisetech easily having a valuation of AUD50B to 100B within a decade, but it may take a few years before investors wake up to this jewel.

I say this because Wisetech has expanded into peripheral markets within logistics through acquisitions. For instance, by acquiring US landside logistics, Wisetech gained a container transport from the port to the door or from the door to the port. This is a very big market and it's very complex and inefficient.

If they can get a substantial efficiency premium out of that market, in global customs, in their warehouse suite, in international transport forwarding— these adjacent areas are themselves larger in total addressable market in comparison with Wisetech is already dealing with.

Key Factors in reaching a 50B+ market Capitalization in the future

The rule of 40 says that if Revenue Growth Rate (%) + Levered Free Cash Flow Margin (%) are above 40%, the company balances revenue growth with cashflow growth well.

In aggregate, I'd say revenue grows at 25-30% over the last decade, and levered free cash flow margin is around 25-30%. This is well above 40%. Wisetech must maintain these healthy figures to justify a growing valuation.

Rarely is a publicly traded software company run this efficiently and profitable. It almost reminds me of Apple a decade ago— a multibillion-dollar valuation with the mindset of a startup by bootstrapping and having an impenetrable moat.

All these factors decide whether the company remains a AUD10B company at 35 dollars, or if it will become a AUD100B in less than a decade. However, the product and the logistics integration with ports are so strong that it is hard for freight forwarders to build their own software or consider alternatives.

I've mentioned the additional key factors in the Catalyst below:

I do not hold a position with the issuer such as employment, directorship, or consultancy.

I and/or others I advise hold a material investment in the issuer's securities.

Catalyst

Improvement of CargoWise's Value Pack and signing the remaining 5% of customers which make up 30% of revenue

Integrating the E2open software with CargoWise

Winning more big freight forwarder rollouts

Container transport optimization roadmap delivers

97% recurring revenue. <1% annual attrition. Over 30% free-cashflow margin.

Messages

No messages